

Import hurting MDF volumes

Greenpanel Industries Q3FY23 performance was largely affected by the increase in the imports of MDF in the country and a sharp drop in realisations of MDF (~20% qoq) in the export countries. The loss in volumes lead to an operating de-leverage.

Key business highlights

- The company reported a 2.1% volume degrowth YoY in the MDF segment and a 6% volume degrowth QoQ mainly due to increase in imports.
- Plywood segment continued its lacklustre performance reporting a 20% volume degrowth YoY and 3% volume degrowth QoQ.
- One time impairment loss of ~31crores to the extent of accumulated losses due to striking off the subsidiary-Greenpanel Singapore.

Key Financial Highlights

- Revenue at Rs 4201Mn, -8% qoq/-1% yoy
- EBITDA (excl OI) at Rs 920Mn, -21% qoq/-15.8% yoy
- EBITDA margin at 21.91% vs 25.52% vs 25.76% in Q2FY23/Q3FY22
- PAT at Rs 415Mn, -36% qoq/-31.3% yoy
- EPS at Rs 3.06 vs 5.91/5.14 in Q2FY23/Q3FY22

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net sales	10,208	16,250	18,057	19,243	21,891
EBIDTA	2,034	4,304	4,503	4,377	4,804
Margins (%)	19.9	26.5	24.9	22.7	21.9
Adjusted net profit	688	2,405	2,461	2,695	2,885
EPS (Rs)	5.6	19.6	20.1	22.0	23.5
P/E (x)	57	16	16	15	14
EV/EBITDA (x)	21	9	9	9	8
RoCE (%)	11.44%	28.93%	27.81%	21.49%	20.00%
RoE (%)	9.42%	25.27%	20.87%	18.84%	16.97%

Source: Company, Dalal & Broacha Research



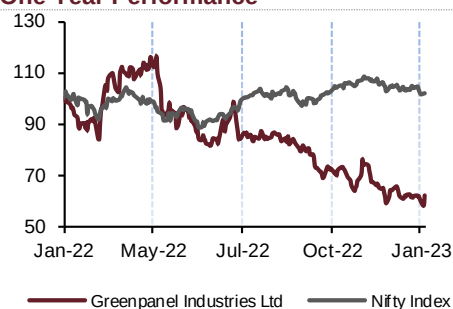
Rating	TP (Rs)	Up/Dn (%)
BUY	424	31

Market data

Current price	Rs	324
Market Cap (Rs.Bn)	(Rs Bn)	40
Market Cap (US\$ Mn)	(US\$ Mn)	488
Face Value	Rs	1
52 Weeks High/Low	Rs	626 / 280
Average Daily Volume	('000)	314
BSE Code		526797
Bloomberg		GREENP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	52.32	52.32
Public	47.68	47.68
Total	100	100

Source: Bloomberg

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Concall Highlights:

- Volume Guidance: The company has guided for a MDF volume growth of ~10 to 12% for FY24 which would be mainly driven by exports. Domestic volumes to remain impacted as long as the imports remain high.
- Realisation Guidance: Expects the realisation in the MDF and plywood segment to be maintained. Realisations on a blended basis would be lower for FY24 as the export volumes increase.
- Margin Guidance: Due to higher export volumes of MDF the management has reduced its guidance to ~23–26% operating margins in MDF segment from 30%. Domestic MDF margins are healthy in the range of 30% but in exports the margins are close to single digit. Plywood margins should improve gradually.
- The domestic players are in talks with the commerce ministry for imposition of Anti-dumping duty/CVD on the imports of MDF. Any positive development there should immediately benefit the industry.
- Domestic MDF volumes were +7% YoY/-7% QoQ. Exports volume were +24% YoY/-5% QoQ.
- The imports have started to come back in the country and has impacted its volume in the domestic markets. Majorly plain MDF is being imported in the country and hardly any value added products. The imported products (landed cost) would be ~ 25% cheaper than domestic MDF. The pressure on the domestic volumes should remain as long as the exports remain high.
- Net working capital days in the quarter stood at 23 days (-1 day from previous quarter)
- Net debt stood at negative 145 crores.
- Value added mix contributed 51% in volume terms and 62% in value terms. Target is to take the value add mix volume to 65% in next few years which would support realization as well.
- Price hikes were taken in the plywood segment to the tune of 2% but was insufficient which is why the margins saw a dip.
- The new capacity expansion which will come onstream in Q1FY25 is especially for thin MDF where they are currently lacking presence. The company is expecting to gain market share immediately in thin MDF when it comes onstream.
- PAT was hit by Currency Loss of Rs 17.22 crores, Rs 8.45 crores included in forex loss (above Ebitda) and Rs 8.77 crores included in Finance cost"
- Tax rate in FY24 - 25% (FY22 - 31%)

Quarterly Snapshot

Greenpanel Industries					
Particulars (Rs Mns)	Q3FY23	Q3FY22	YoY Growth	Q2FY23	QoQ Growth
Revenue from operations	4,201.59	4,244.16	-1.0%	4,572.9	-8%
Other income	(40.45)	21.21	-290.7%	76.314	-153%
Total Income	4,161.14	4,265.37		4,649.2	
Cost of goods sold	1,752.61	1,793.81	-2.3%	1,886.94	-7%
Employee Benefit expenses	352.54	316.13	11.5%	361.3	-2%
Other Expenses	1,176.02	1,040.74	13.0%	1,157.5	2%
EBITDA (excl other income)	920.42	1,093.48	-15.8%	1,167.17	-21%
Less : Depreciation	183.09	171.18	7.0%	182.3	0%
PBIT	737.33	922.30		984.9	
Less: Interest cost	113.86	11.79	866.0%	17.9	535%
PBT (before exceptional)	623.47	910.51	-31.5%	967.0	-36%
Exceptional	-	-		61.0	
PBT (after exceptional)	623.47	910.51	-31.5%	1,028.0	-39%
Less : Tax	207.55	305.32		379.7	
PAT	415.92	605.20	-31.3%	648.3	-36%
EPS	3.06	5.14	-40.5%	5.91	-48%
Gross Margins	58.29%	57.73%		58.74%	
EBITDA Margins	21.91%	25.76%		25.52%	
Net profit Margin	10.00%	14.19%		13.94%	
MDF utilisation					
Capacity (CBM)	660,000	540,000		660,000	
Production	118,218	120,724	-2.1%	126,232	-6%
Utilisation %	72%	89%		77%	
Ply utilisation					
Capacity (mn sqm)	10.5	10.5	0.0%	10.50	0%
Production	1.73	2.33	-25.8%	1.8	-3%
Utilisation %	66%	89%		68%	
Average Realisation					
MDF (per cbm)	30,585	29,025	5.4%	31,299	-2%
Plywood (per sqm)	289	272	6.3%	299	-3%
Revenue segment wise					
MDF	3,625.68	3,573.13	1.5%	3,962.11	-8%
Plywood	575.91	671.06	-14.2%	610.77	-6%
EBITDA margins					
MDF	25.60%	30.50%		30.40%	
Plywood	7.00%	9.90%		7.30%	

* Consolidated P/L

Valuation & Outlook

There are near term challenges in the nature of higher imports affecting volumes and margins therefore we remain cautious for a couple of quarters. We believe in the shift taking place from plywood to MDF and remain optimistic from a long term point of view.

As per our estimates the company is estimated to clock revenue/EBITDA/PAT CAGR of 10%/3%/8% over FY23- 25E. At the CMP of INR 322, it is currently trading at 14.6x/13.6x FY24E/25E EPS (~22/23.5). We revise our **target price to Rs 424 (18x FY24E) from Rs 533**, implying an upside of 32% and therefore recommend **BUY** from a long term perspective.

FINANCIALS

P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	10,208	16,250	18,057	19,243	21,891
Total Operating Expenses	4,629	6,709	7,354	7,890	8,975
Employee Cost	979	1,284	1,431	1,588	1,763
Other Expenses	2,566	3,953	4,769	5,388	6,348
Operating Profit	2,034	4,304	4,503	4,377	4,804
Depreciation	686	734	746	763	950
PBIT	1,347	3,571	3,757	3,614	3,854
Other income	34	90	184	129	129
Interest	372	171	189	150	137
PBT (Before exceptional)	1,010	3,489	3,753	3,594	3,847
Exceptional	-	-	61	-	-
PBT (post exceptional)	1,010	3,489	3,814	3,594	3,847
Provision for tax	322	1,085	1,353	898	962
Reported PAT	688	2,405	2,461	2,695	2,885
MI	-	-	-	-	-
Net Profit	688	2,405	2,461	2,695	2,885
Adjusted Profit	688	2,405	2,461	2,695	2,885
Balance Sheet (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	123	123	123	123	123
Reserves	7,181	9,394	11,671	14,183	16,884
Net worth	7,304	9,516	11,794	14,305	17,007
Non Current Liabilites	4,388	2,790	2,685	3,599	3,488
Current Liabilites	2,860	3,117	2,212	2,228	2,319
TOTAL LIABILITIES	14,552	15,424	16,691	20,132	22,814
Non Current Assets	11,000	10,561	10,839	16,161	15,598
Fixed Assets	10,778	10,382	10,317	15,619	15,034
Goodwill	-	-	-	-	-
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	-	-	-	-	-
Other Financial Assets	146	170	197	216	238
Other Non Current Assets	76	9	326	326	326
Current Assets	3,553	4,863	5,852	3,971	7,217
Current investments	-	-	-	-	-
Inventories	1,494	1,658	1,929	2,056	2,339
Trade Receivables	778	414	461	491	558
Cash and Bank Balances	725	2,226	2,872	812	3,684
Short Term Loans and Advances	4	7	10	10	10
Other Current Assets	552	557	581	602	625
TOTAL ASSETS	14,552	15,424	16,691	20,132	22,814

FINANCIALS

Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	688	2,405	2,461	2,695	2,885
Add: Dep. & Amort.	686	734	746	763	950
Cash profits	1,374	3,138	3,207	3,458	3,835
(Inc)/Dec in					
Sundry debtors	(72)	363	(46)	(30)	(68)
Inventories	45	(165)	(271)	(127)	(283)
Other financial assets	81	99	(348)	(20)	(22)
Other Current Assets	273	(64)	(22)	(21)	(23)
Current Liab and Provisions	(274)	220	291	52	57
Sundry Creditors	90	81	(191)	78	174
Change in working capital	142	534	(587)	(68)	(165)
CF from Oper. activities	1,517	3,672	2,620	3,390	3,670
CF from Inv. activities	(297)	(337)	(681)	(6,065)	(365)
CF from Fin. activities	(610)	(1,834)	(1,294)	616	(434)
Cash generated/(utilised)	610	1,501	645	(2,059)	2,872
Cash at start of the year	115	725	2,226	2,872	812
Cash at end of the year	725	2,226	2,872	812	3,684

Ratios	FY21	FY22	FY23E	FY24E	FY25E
OPM	19.92%	26.49%	24.94%	22.75%	21.95%
NPM	6.72%	14.72%	13.49%	13.91%	13.10%
Tax Rate	31.85%	31.09%	35.47%	25.00%	25.00%

Growth Ratios (%)

Net Sales	16.45%	59.20%	11.12%	6.57%	13.76%
Operating Profit	47.61%	111.65%	4.62%	-2.80%	9.76%
PBIT	347.81%	245.58%	7.55%	-4.24%	7.05%
PAT	375.84%	249.47%	2.35%	9.51%	7.05%

Per Share (Rs.)

Net Earnings (EPS)	5.61	19.61	20.08	21.98	23.54
Cash Earnings (CPS)	11.21	25.60	26.16	28.20	31.28
Dividend	0.00	0.15	0.15	0.15	0.15
Book Value	59.57	77.62	96.20	116.68	138.72
Free Cash Flow	14.16	28.93	19.77	-14.87	28.12

Valuation Ratios

P/E(x)	57.37	16.42	16.04	14.65	13.68
P/B(x)	5.41	4.15	3.35	2.76	2.32
EV/EBIDTA(x)	21.25	9.31	8.51	9.41	7.92
Div. Yield(%)	-	0.05	0.05	0.05	0.05
FCFF Yield(%)	4.40	8.98	6.14	(4.62)	8.73

Return Ratios (%)

ROE	9.42%	25.27%	20.87%	18.84%	16.97%
ROCE	11.44%	28.93%	27.81%	21.49%	20.00%

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